

already firmed up its strategy. “We will have both active and passive schemes and we will have a lot of debt products as well as we are very focussed on that segment,” says Shenoy, Founder & CEO of Capitalmind. (In active schemes, the fund manager actively does the stock picking wherein passive schemes mostly replicate an index in terms of stock constituents.) “We are one of the few experienced asset managers to apply for a licence. We currently have an active and a passive product on the PMS side and, hence, we understand the space.” Shenoy’s Wizemarkets Analytics—the registered name of Capitalmind—is eyeing an AUM of ₹1-1.5 lakh crore in the next five to seven years. “We have applied because we think there is a huge market out there and the industry has only scratched the surface of what can be done in the long term. As India grows, the industry is also going to grow multi-fold from where it is right now. For that, if you have four to five more players, it is not going to make any major difference especially when the industry is expected to grow in a big way,” he adds.

Shenoy makes an important point. Apart from a certain level of innovation in product differentiation,



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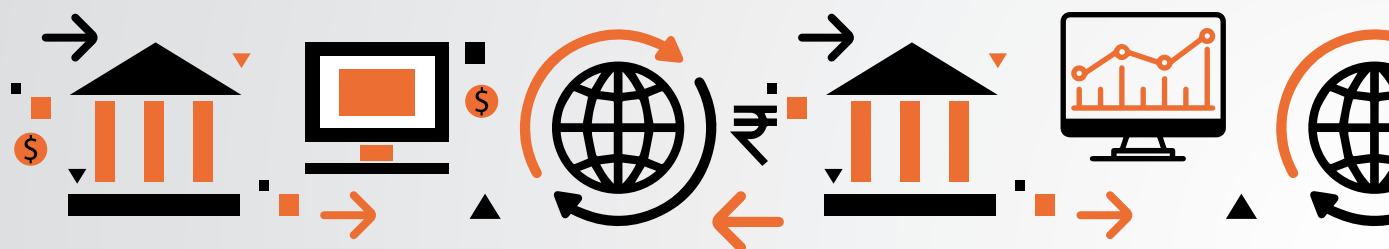
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performance will be the single-biggest pull factor for fund houses as an increasing number of investors look at investing in stocks using the MF route.

THE NEWBIES ARE clearly readying for a scrap. “Due to regulatory changes, the industry has become more meritocratic today. Deep pockets or legacy of parentage without performance or competency to generate performance cannot accomplish much,” says Somaiyaa of WhiteOak Capital. “Ultimately what matters in our industry is performance, perceived ability to deliver performance, communication quality and service.”

Indeed, the MF industry has proven to be a Waterloo for many big names that found the going too tough and

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THE VANISHING TRIBE

Some big global names have gone missing from the Indian mutual funds market

2022

- ▶ HSBC MF acquires L&T MF
- ▶ Baroda MF merges with BNP MF
- ▶ Sundaram MF buys Principal MF

2016

- ▶ Edelweiss MF acquires JPMorgan MF
- ▶ Goldman Sachs MF merges with Nippon India MF